

Conditions of Contract — General Conditions (Extract of Relevant Clauses)

Nandira River Bridge Project — Package NRB-4

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Contract No.:	NHIA/NRB4/CW/2020-01
From:	National Highways Infrastructure Authority (Employer)
To:	Meridian Engineering Consultants (Engineer); Sagara Constructions Pvt. Ltd. (Contractor)
Employer:	National Highways Infrastructure Authority
Engineer:	Meridian Engineering Consultants
Contractor:	Sagara Constructions Pvt. Ltd.

PREFATORY NOTE

This document reproduces, in extract form, those Clauses and Sub-Clauses of the General Conditions of Contract considered relevant to the day-to-day administration of the Contract. It is not a reproduction of the Contract in full, and no Clause or Sub-Clause not appearing in this extract should be taken to be absent from the Contract or of lesser standing than those which do appear. Terms defined elsewhere in the Contract carry the same meaning wherever used in this extract. Numbering follows the Contract's own Clause structure; Clauses omitted from this extract are indicated only by the gaps in numbering.

CLAUSE 1 — GENERAL PROVISIONS

1.3 — Notices

Wherever the Contract requires a notice, consent, approval, certificate, determination or instruction to be given or issued by one Party to the other, or by the Engineer to either Party, it shall be in writing and shall be treated as validly given only once received at the address nominated by the recipient for that purpose in the Contract Data, or at such other address as the recipient may from time to time nominate in writing.

A notice delivered by hand or by registered post shall be treated as received on the date of actual delivery as evidenced by a signed receipt. A notice sent by electronic mail to a nominated electronic address shall be treated as received at the time shown on the sender's transmission record, unless the sender receives an automated notification that delivery has failed, in which case the notice shall be treated as not given until delivered by another means permitted under this Sub-Clause.

Every notice shall identify the Clause or Sub-Clause of the Contract under which it is given and shall set out, with reasonable particularity, the matter to which it relates. A notice which does not do so may be returned by the recipient with a request for clarification, and time shall not begin to run against the recipient until a compliant notice is received.

Where this Contract states a period within which a notice must be given, that period shall be calculated from the date on which the Party giving notice first became aware, or ought reasonably to have become aware, of the matter giving rise to the notice, and not from any later date on which the consequences of that matter became fully apparent. Saturdays, Sundays and public holidays observed at the Site shall be included in the calculation of any such period unless the Contract expressly provides otherwise.

Nothing in this Sub-Clause relieves either Party or the Engineer of any other requirement as to the form, content or timing of a particular notice set out elsewhere in the Contract, and where such a requirement conflicts with this Sub-Clause, the more specific requirement shall prevail.

CLAUSE 3 — THE ENGINEER

3.3 — Engineer's Instructions

The Engineer may, at any time, issue to the Contractor such instructions as the Engineer considers necessary for the proper execution of the Works and the remedying of any defect therein, consistent with the Contract. Every instruction shall be given in writing. Where the Engineer, or a person authorised by the Engineer, gives an instruction orally in circumstances of urgency, that instruction shall be confirmed in writing by the Engineer within two days, and the Contractor shall likewise confirm in writing, within the same period, any oral instruction upon which the Contractor intends to act, failing which the instruction shall be of no effect.

The Contractor shall comply with every instruction validly given under this Sub-Clause, save where compliance would require the Contractor to act unlawfully or would be rendered impossible by circumstances beyond the Contractor's control, in which case the Contractor shall notify the Engineer without delay, stating the grounds of objection.

An instruction given under this Sub-Clause shall not, of itself, constitute a Variation. Where an instruction has the effect described in Sub-Clause 13.1, it shall be treated as an instruction to vary the Works and dealt with accordingly under Clause 13, and the Contractor shall promptly draw to the Engineer's attention any instruction which the Contractor considers to have that effect, without prejudice to the Contractor's obligation to comply with the instruction in the meantime.

The Engineer may delegate authority to give instructions under this Sub-Clause to a named Engineer's Representative or other authorised person, by notice to the Contractor stating the scope of the delegation. The Contractor shall be entitled to treat any instruction given within the stated scope of such a delegation as an instruction of the Engineer for all purposes of the Contract, until the delegation is withdrawn or varied by further notice.

Where the Contractor considers that an instruction is ambiguous, or is inconsistent with another instruction or with the Contract, the Contractor shall notify the Engineer promptly, and the Engineer shall clarify or resolve the inconsistency within seven days, during which period the Contractor shall proceed on the basis of a reasonable interpretation of the instruction unless directed otherwise.

CLAUSE 4 — THE CONTRACTOR

4.1 — Contractor's General Obligations

The Contractor shall design, to the extent (if any) stated in the Employer's Requirements, and shall execute and complete the Works in accordance with the Contract, and shall remedy any defects in the Works, using materials, plant and workmanship of the standard specified in the Employer's Requirements and the Specification. Save to the extent so stated, the design of the Permanent Works is the Employer's responsibility, and the Contractor shall not depart from the Drawings issued by the Engineer without an instruction under Clause 3 or Clause 13.

The Contractor shall be responsible for the adequacy, stability and safety of all Site operations, all methods of construction, and all Temporary Works, whether or not any design for Temporary Works has been

reviewed or commented upon by the Engineer.

If the Contractor becomes aware of an error, omission or ambiguity in a Drawing, Specification or other document issued by or on behalf of the Employer, the Contractor shall notify the Engineer promptly upon becoming aware of it, and shall not proceed with the affected part of the Works until the Engineer has issued a clarifying instruction, save where the Contract or an instruction of the Engineer requires otherwise.

The Contractor shall provide all supervision, labour, materials, Contractor's Equipment and other things, whether of a temporary or permanent nature, required for the Works, except to the extent otherwise stated in the Contract.

The Contractor shall conduct its operations so as not to interfere unnecessarily with the convenience of the public, or the access to and use of any adjoining land, and shall comply with all applicable laws, permits and approvals relevant to the execution of the Works.

The Contractor shall appoint a Contractor's Representative, notified to the Engineer, who shall have full authority to act on the Contractor's behalf for the purposes of the Contract, and through whom all instructions of the Engineer shall ordinarily be communicated to the Contractor's personnel.

Compliance by the Contractor with an instruction, approval or consent of the Engineer shall not relieve the Contractor of any obligation under this Sub-Clause, save to the extent that the Contract expressly provides otherwise.

CLAUSE 8 — COMMENCEMENT, DELAYS AND SUSPENSION

8.4 — Extension of Time for Completion

The Contractor shall be entitled to an extension of the Time for Completion if and to the extent that completion of the Works for the purposes of Taking-Over is or will be delayed by any of the following causes:

- (a) a Variation instructed under Clause 13, unless the Variation was itself necessitated by a breach of the Contract by the Contractor;
- (b) a cause of delay for which the Contract expressly entitles the Contractor to an extension, including exceptionally adverse conditions of a kind that a reasonably experienced contractor could not have foreseen at the date of the Letter of Acceptance, but excluding any condition, event or restriction addressed elsewhere in the Contract as a foreseeable or contractually anticipated risk;
- (c) any act, omission or default of the Employer, the Engineer, or of another contractor engaged by the Employer, which impedes the Contractor's progress; or
- (d) any other cause of delay which the Contract expressly states shall entitle the Contractor to an extension of time.

An extension shall be granted only where the Contractor has given notice of the delay in accordance with Sub-Clause 20.1, and has, upon request, provided the Engineer with such particulars of the delay and its likely effect on the programme as the Engineer may reasonably require.

Upon receiving such particulars, the Engineer shall assess the delay and shall notify the Contractor of the extension (if any) granted, giving reasons, within twenty-eight days of receiving particulars sufficient to make an assessment, or such further period as the Engineer may reasonably require where the full effect of

the delay cannot yet be determined, in which case the Engineer shall make an interim determination and a final determination once the effect is known.

Where a delay results partly from a cause described above and partly from a cause for which the Contractor is responsible, the Engineer shall apportion the resulting delay between the two causes to the extent reasonably practicable, and shall grant an extension only in respect of the portion attributable to a cause described above.

A revision to the Time for Completion granted under this Sub-Clause does not, of itself, entitle the Contractor to any additional payment; entitlement to payment in connection with a cause of delay is to be established, where applicable, under Sub-Clause 20.1 or such other provision of the Contract as applies to that cause.

8.7 — Delay Damages

If the Contractor fails to achieve Taking-Over of the Works, or any Section for which a separate Time for Completion is stated, within the Time for Completion as it may have been extended under Sub-Clause 8.4, the Contractor shall pay to the Employer delay damages for every day which elapses between the Time for Completion and the date stated in the relevant Taking-Over Certificate, at the rate stated in the Contract Data, subject to the maximum amount (if any) stated in the Contract Data.

Delay damages payable under this Sub-Clause represent a genuine pre-estimate, agreed between the Parties, of the loss likely to be suffered by the Employer as a result of late completion, and are not a penalty. The Employer shall not be required to prove the amount of its actual loss in order to recover delay damages, and payment of delay damages shall be the Employer's sole and exclusive remedy against the Contractor for the Contractor's failure to achieve the Time for Completion, without prejudice to any other remedy available to the Employer in respect of a different breach of the Contract.

The Engineer may certify the deduction of delay damages accrued under this Sub-Clause from any amount otherwise due to the Contractor under Clause 14, and shall notify the Contractor of the basis of any such deduction at the time of certification.

Where an extension of time is subsequently granted under Sub-Clause 8.4 in respect of a period for which delay damages have already been deducted, the Employer shall repay to the Contractor, without interest, the amount of delay damages attributable to that period within the period stated for payment under Sub-Clause 14.7.

Once the maximum amount of delay damages (if stated in the Contract Data) has been reached, the Contractor shall have no further liability under this Sub-Clause for continuing delay, without prejudice to the Employer's other rights and remedies under the Contract or otherwise in respect of the Contractor's failure to complete the Works.

CLAUSE 13 — VARIATIONS AND ADJUSTMENTS

13.1 — Right to Vary

The Engineer may, at any time before the issue of the Taking-Over Certificate for the Works, initiate a Variation, either by instructing the Contractor to carry out the Variation or by requesting the Contractor to submit a proposal for a Variation before an instruction is given.

A Variation may include any of the following: a change to the quantities of an item of work included in the Contract; a change to the quality, character or other characteristic of an item of work; a change to the levels, lines, position or dimensions of any part of the Works; the omission of work, save that work may not be omitted for the purpose of having it carried out by another contractor or by the Employer's own forces; any additional work necessary for the completion of the Works; or a change to the sequence or timing of execution of the Works.

The Contractor shall not vary the Works except pursuant to an instruction given under this Sub-Clause, or as otherwise agreed in writing between the Parties. Work carried out by the Contractor otherwise than pursuant to such an instruction or agreement shall not entitle the Contractor to additional payment or time, save to the extent the Engineer subsequently confirms the work in writing as an instructed Variation.

Where the Engineer requests a proposal under this Sub-Clause, the Contractor is not obliged to proceed with the work described in the request unless and until an instruction to vary is subsequently given, and the request itself shall not be treated as an instruction for the purposes of this Clause.

The right to instruct a Variation under this Sub-Clause is subject to any threshold or additional approval requirement stated elsewhere in the Contract in respect of Variations of a stated estimated value, and an instruction given without the approval so required shall not bind the Employer as against the Contractor unless and until that approval is obtained or the Employer is estopped from denying its validity.

13.3 — Variation Procedure

Where the Engineer requests a proposal under Sub-Clause 13.1, the Contractor shall respond in writing within the period stated in the request, or within fourteen days if no period is stated, either submitting a proposal comprising a description of the work to be carried out, the effect (if any) on the programme for completion, and the Contractor's estimate of the cost, or explaining in writing why the Contractor is unable to comply, or is unable to comply within the period requested.

Following receipt of a proposal, or upon deciding to proceed without first requesting one, the Engineer shall issue an instruction to the Contractor to carry out the Variation, confirm that no Variation is to proceed, or request the Contractor to revise the proposal. An instruction to carry out a Variation shall be given in writing in accordance with Sub-Clause 3.3.

The value of a Variation shall be determined by applying the rates and prices in the Bill of Quantities to the varied work, where the varied work is of similar character and executed under similar conditions to work priced in the Bill of Quantities. Where no such rate or price exists, or where the character or conditions of the varied work differ materially, a new rate or price shall be agreed between the Engineer and the Contractor or, failing agreement, determined by the Engineer, having regard to the rates and prices in the Bill of Quantities so far as reasonably applicable and to the reasonable cost of executing the work.

The Contractor shall proceed with the execution of an instructed Variation without delay, notwithstanding that the value of the Variation has not yet been agreed or determined, and any disagreement as to value shall be dealt with under Sub-Clause 20.1 without suspending performance of the instructed work, save where the Contract expressly entitles the Contractor to suspend performance pending payment.

The Engineer shall include the value of Variations instructed and executed, whether or not finally agreed, in the calculation of amounts due under Clause 14, on the basis of the Engineer's then-current assessment, subject to later adjustment once the value of the Variation is finally agreed or determined.

CLAUSE 14 — CONTRACT PRICE AND PAYMENT**14.3 — Application for Interim Payment Certificates**

The Contractor shall submit to the Engineer, at the end of each month, a Statement in the form and number of copies stated in the Contract Data, showing in detail the amounts to which the Contractor considers itself entitled, including the estimated value of the Permanent and Temporary Works executed up to the end of that month, together with such supporting records, measurements and calculations as the Engineer may reasonably require to verify the amounts claimed.

Each Statement shall separately identify the value of work executed under the original Bill of Quantities, the value of work executed pursuant to instructed Variations, whether or not finally valued, and any amount claimed under Sub-Clause 20.1 which has, by the date of the Statement, been notified to the Engineer with sufficient particulars for its value to be estimated.

The Engineer shall review each Statement and shall be entitled to exclude or adjust any amount which is not, in the Engineer's opinion, adequately substantiated by the records and measurements provided, or which has not been executed in accordance with the Contract, giving reasons for any such exclusion or adjustment to the Contractor in writing.

From the amount otherwise due, there shall be deducted retention at the percentage stated in the Contract Data, until the cumulative amount retained reaches the limit (if any) stated in the Contract Data, after which no further retention shall be deducted from amounts subsequently certified.

A Statement which is not submitted in the form, or with the supporting information, required by this Sub-Clause may be returned by the Engineer for correction and resubmission, and the periods stated in Sub-Clause 14.7 shall run from the date of receipt of a compliant Statement.

14.7 — Payment

The Engineer shall, within the period stated in the Contract Data after receiving a Statement submitted in accordance with Sub-Clause 14.3, issue to the Employer, with a copy to the Contractor, an Interim Payment Certificate stating the amount which the Engineer considers due, together with such supporting particulars as enable the Contractor to reconcile the certified amount against the Statement submitted.

The Employer shall pay to the Contractor the amount certified by the Engineer within the period stated in the Contract Data after the date of the Interim Payment Certificate.

If the Employer fails to pay a certified amount within the period stated in this Sub-Clause, the Contractor shall be entitled to receive financing charges on the overdue amount, compounded monthly, at the rate stated in the Contract Data, for the period of the delay in payment, without prejudice to any other right or remedy available to the Contractor under the Contract.

The Employer may withhold or set off against a certified amount only such sum as is properly due to the Employer under the Contract, and only where the Employer has given the Contractor notice, with particulars, of the amount withheld and the grounds for withholding it, not later than the date payment would otherwise fall due.

Payment of an amount in an Interim Payment Certificate shall not be taken as an admission by the Employer or the Engineer of the accuracy of any Statement, record or claim on which the certified amount is based, and any amount overpaid or underpaid as a result of a subsequent correction may be adjusted in a later Interim

Payment Certificate.

CLAUSE 20 — CLAIMS

20.1 — Contractor's Claims

Where the Contractor considers that it is entitled to an extension of the Time for Completion under Sub-Clause 8.4, or to additional payment under any provision of the Contract, or otherwise in connection with the execution of the Works, the Contractor shall give notice to the Engineer describing the event or circumstance giving rise to the claim.

Notice under this Sub-Clause shall be given not later than twenty-eight days after the Contractor became aware, or ought reasonably to have become aware, of the event or circumstance. If the Contractor fails to give notice within this period, the Contractor shall not be entitled to any extension of time or additional payment in respect of that event or circumstance, and the Employer shall be discharged from all liability in connection with it.

Following a valid notice, the Contractor shall keep such contemporaneous records as may reasonably be necessary to substantiate the claim, and shall permit the Engineer to inspect such records. Within forty-two days of the notice, or such other period as may be agreed, the Contractor shall submit a fully detailed claim, including the contractual or other basis of the claim and supporting particulars of the extension of time or additional payment claimed. Where the effect of the event or circumstance is continuing, the Contractor shall submit interim particulars at monthly intervals thereafter and a final claim within twenty-eight days of the effects ceasing.

The Engineer shall respond to a claim submitted under this Sub-Clause with a determination, approving, rejecting or approving in part the extension of time or additional payment claimed, giving reasons for any part not approved, within forty-two days of receiving the fully detailed claim, or such particulars as are reasonably sufficient for the Engineer to make a determination, whichever is the later.

An extension of time or additional payment shall not be granted under this Sub-Clause otherwise than in accordance with a determination of the Engineer made under this Sub-Clause, or by agreement between the Parties, and nothing in this Sub-Clause limits either Party's rights under the dispute resolution provisions of the Contract in respect of a determination with which that Party disagrees.

[END OF EXTRACT]
